February CPI – Core inflation is less than expected

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The softest update on core inflation in just over half a year suggests that inflationary pressures were moderating at the start of 2026, prior to the Middle East conflict.

- Headline inflation was flat at 3.7%yr which was softer than expected.
- Core inflation was also softer than expected rising just 0.2% in the month helped by a softer than expected print from dwellings.

- This all predates the current crisis in the Middle East. Westpac now expects headline inflation to be around 5½%yr, on a monthly basis, by mid-year. However, this is mostly due to a surge in fuel prices with core inflation showing a more modest lift to around 3½%yr over the same period of time.

The February CPI rose 3.7%yr, marginally below both Westpac's and market expectations of 3.8%yr. On a monthly basis, CPI was flat, undershooting Westpac's near-cast of 0.1%mth, reflecting broader-than-expected softness across several expenditure classes. The standout was housing, with dwelling prices rising just 0.1%mth, alongside weakness in household contents & services.

February is seasonally soft. On a seasonally adjusted basis, CPI rose 0.2%mth, leaving the annual pace unchanged at 3.7%yr. Given the short history of the new monthly CPI series, we continue to expect revisions to seasonal factors as the ABS refines its estimates. There were no revisions to February's seasonal adjustment this month (0.24ppt).

CPI Item	Monthly CPI Indicator Feb-25 % mth	Dec-25 % mth	Jan-26 % mth	Feb-26 % mth	WBC fcs Feb-26 % mth
Food	-0.1	0.4	0.5	-0.1	0.1
of which, bread & cereals	-1.2	0.9	0.2	-1.2	-0.9
of which, meat & seafood	0.0	0.6	0.2	0.5	-0.1
of which, dairy & related products	-0.7	0.7	-0.4	-0.6	-0.8
of which, fruit & vegetables	-0.5	-0.2	0.8	0.0	1.0
of which, food products nec	-1.3	0.9	1.1	-1.1	-1.3
of which, non-alcohol beverages	2.1	-0.3	0.6	0.7	1.8
Alcohol & tobacco	0.9	0.0	0.9	0.2	0.7
of which, Alcohol	1.0	-0.2	1.3	0.1	0.7
of which, Tobacco	0.7	0.5	-0.1	0.4	0.6
Clothing & footwear	3.2	-0.8	2.9	2.6	2.3
of which, garments	3.9	-1.3	2.2	2.9	2.9
Housing	-0.1	0.1	2.2	0.3	0.4
of which, Rents	0.5	0.2	0.3	0.4	0.4
of which, House purchases	-0.1	0.2	0.4	0.1	0.5
of which, Electricity	-2.5	0.0	18.5	1.0	0.9
of which, Gas & other fuels	0.2	0.0	0.0	-0.1	0.1
H/hold contents & services	1.0	1.0	-3.6	0.9	1.3
Health	0.1	-0.4	2.7	0.1	0.1
Transportation	0.6	0.0	-0.7	-0.7	-1.2
of which, auto fuel	1.2	-0.5	-3.2	-3.4	-4.5
Communication	0.7	-0.4	-0.1	0.2	0.6
Recreation	-3.4	7.4	-3.4	-3.0	-3.1
of which, holiday travel	-7.6	15.9	-7.6	-6.3	-6.9
Education	0.0	0.0	0.0	4.5	5.4
Financial & insurance services	0.0	0.5	0.3	0.1	0.0
CPI: All groups %mth	**0.1**	**1.0**	**0.4**	**0.0**	**0.1**

The Monthly Trimmed Mean (TM) rose 3.3%yr in February, slightly below Westpac's and the market's 3.4%yr expectation. The annual pace is unchanged from January, which was revised down from 3.4%yr, leaving TM inflation at 3.3%yr for three consecutive months.

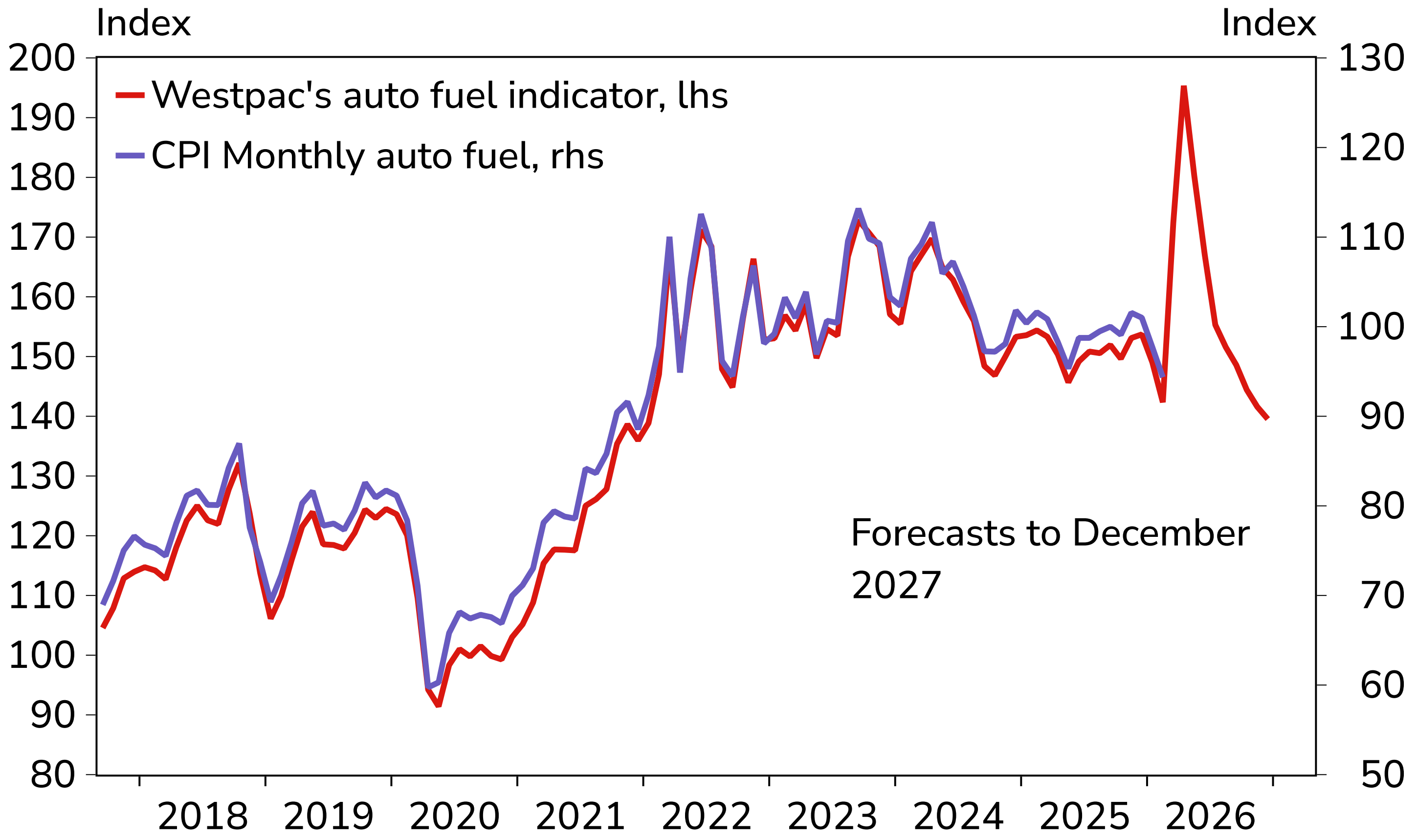
In monthly terms, the TM increased 0.2%mth, a touch softer than Westpac's 0.3% forecast. At two decimal places, the rise was 0.20%, compared with our estimate of 0.34%. After printing 0.3%mth for six consecutive months to January, February signals some easing in underlying inflation momentum.

This data predates recent Middle East developments and the sharp lift in crude oil and fuel prices. We currently estimate March CPI at 1.0%mth, with headline inflation peaking around 5½%yr by mid-2026, driven largely by fuel.

By contrast, the trimmed mean, which will exclude fuel volatility, is projected to rise 0.4%mth in March, with the annual pace peaking closer to 3½%yr in mid-2026.

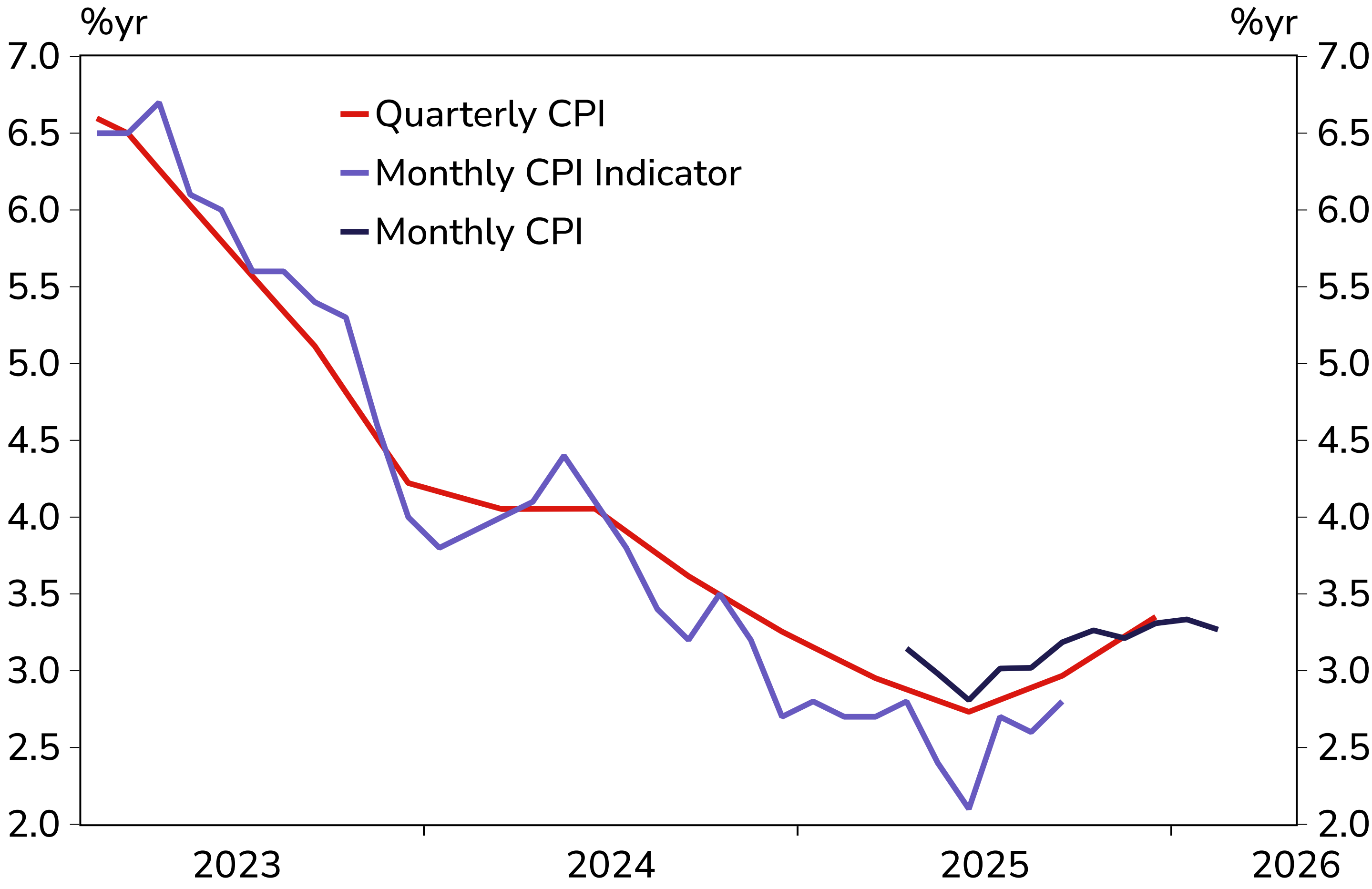
Auto fuel prices

Pump price average for unleaded and diesel



Source: ABS, Macrobond, Westpac Economics

Trimmed Mean Inflation



Source: ABS, Macrobond, Westpac Economics

February Monthly CPI in more detail

A major surprise was the modest 0.1% increase in new dwellings, the smallest monthly increase since the flat print in May 2025. Rents were as expected lifting 0.4% in the month while the slightly stronger rise in electricity was offset by an unexpected –0.1% fall in gas & other household fuels. We are surprised by this moderation in dwelling price inflation as we had been expecting an increase of between 0.3% and 0.4% for the next few months.

The ABS notes that the 1.0% increase in electricity in February takes electricity as reported in the CPI back to where it would be without the EBRF rebates. As such, going forward there is no further unwinding of those cost-of-living assistance boosting headline inflation.

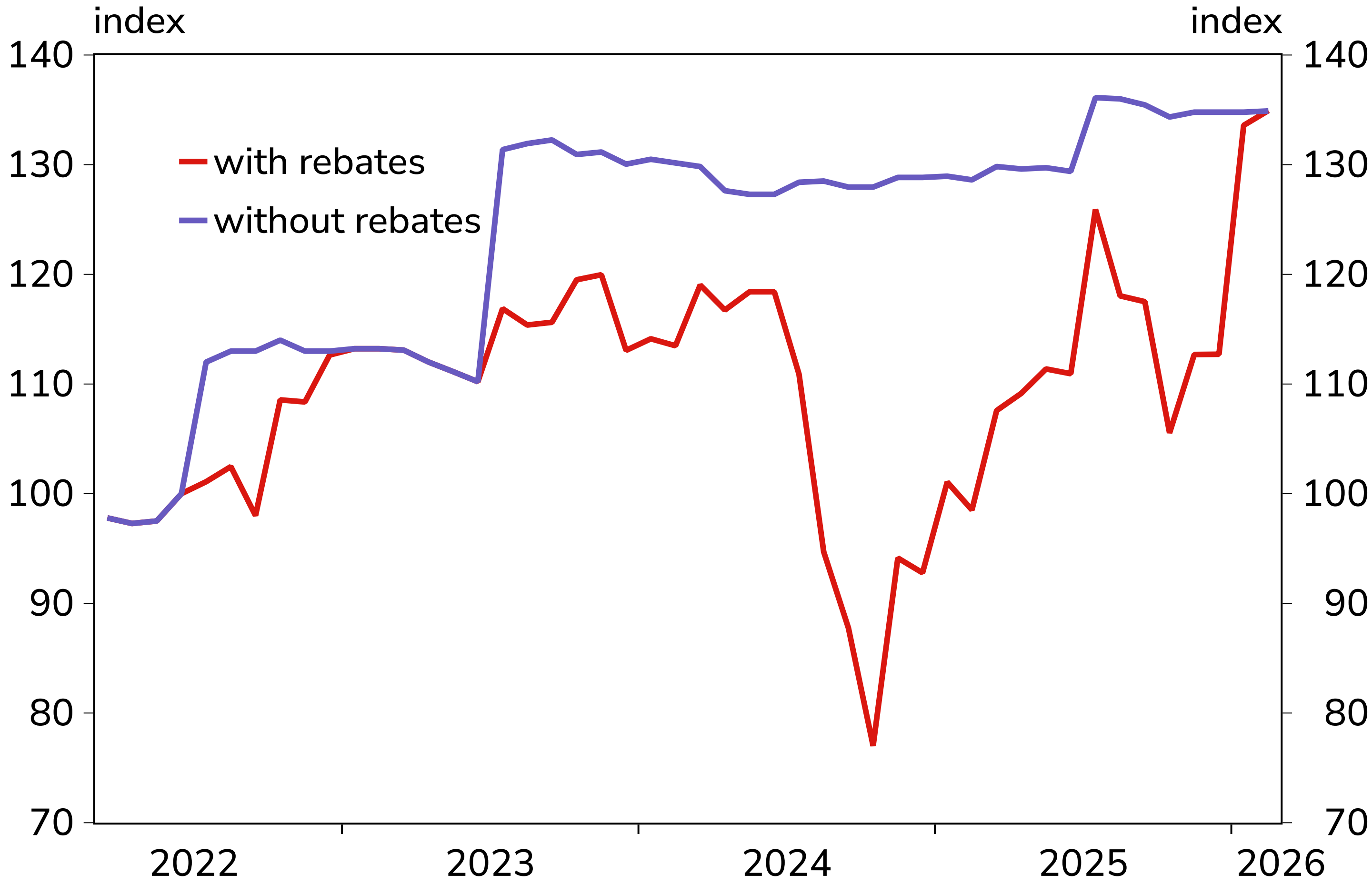
Also surprising to the downside was a more modest 4.5% increase in education versus the 5.4% expected. Secondary education rose a chunky 6.6% but preschool & primary lifted a more modest 4.4% while tertiary education was up just 2.2%.

Holiday travel & accommodation fell –6.3% in February, a bit less than our estimate with the –7.4% fall in domestic travel being offset by a smaller –5.1% decline in international travel.

As in January, a key upside surprise was in clothing & footwear which gained 2.6% in the month compared to our estimate of 2.3%. Most of this discrepancy was due to women's garments (3.5%) and footwear (5.5%) and footwear for men (3.1%).

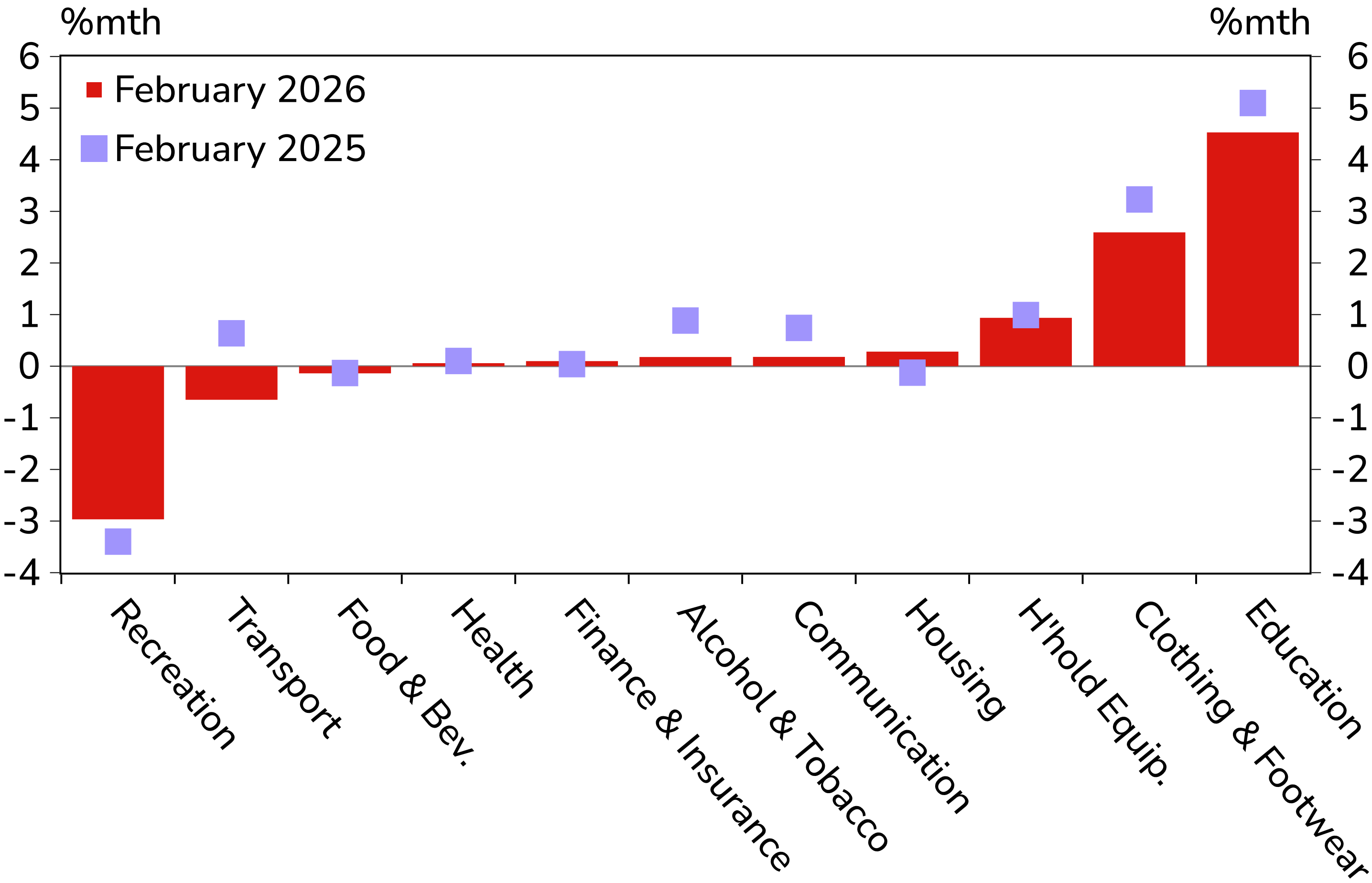
The modest 0.9% increase in furnishings, household equipment & services was due to falling prices for glassware & tableware (–1.8%), cleaning & maintenance products (–0.8%) and childcare (–1.6%). The recent fall in childcare prices reflects the Child Care Subsidy activity test was replaced resulting in more families getting access to subsidised Childcare from the 5th of January reducing out of pocket expenditure for some families.

Electricity is back to pre rebate levels



Source: ABS, Macrobond, Westpac Economics

Monthly CPI by Category



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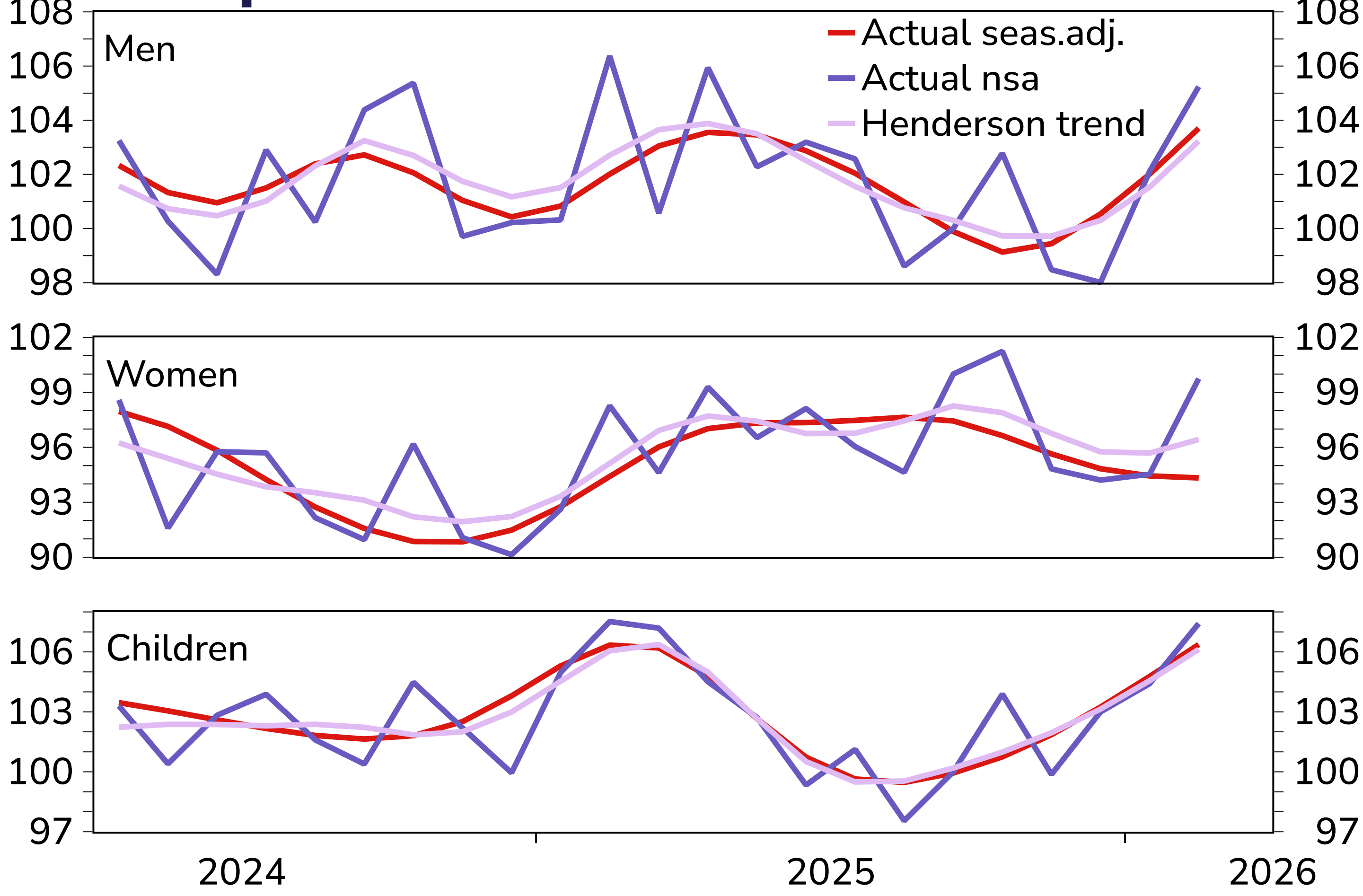
Footwear prices (index)



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